

Gas Leak Management Procedure

Sedgewater Energy Holdings | Gas Compliance and Integrity | 2026-04-06 | v5.0

This procedure sets how Sedgewater Gas Distribution finds, grades, repairs and monitors gas leaks and how leak survey work is scheduled. It covers the three gas districts, Crossroads, Bayou and Prairie. Issued by Gas Compliance on April 6, 2026.

1. Scope

The procedure covers mains, services, meter sets and regulator stations serving the 262,300 customers counted at December 31, 2025 (Crossroads 96,400, Bayou 117,800, Prairie 48,100).

2. How leaks are found

Leaks are found by scheduled leak surveys, customer odor calls, crews working on the system and third-party reports. Gas odor and emergency calls are handled by the contact center as priority calls and dispatched to a service technician without delay; customers are told to leave the building and call from outside.

3. Leak grades

- Grade 1 - a hazard that needs immediate repair or continuous action until the hazard is removed.
- Grade 2 - non-hazardous at detection but scheduled for repair.
- Grade 3 - non-hazardous and monitored at each survey until repaired or cleared.

4. Repair and monitoring

The first technician on site grades the leak, makes the area safe and records the leak in the leak log. Grade 1 leaks stay under continuous action until the hazard is removed. Grade 2 repairs are scheduled by the district gas supervisor; Appendix A lists repair timeframes by grade. Grade 3 leaks are rechecked at each survey and upgraded if readings rise.

5. Leak survey intervals

Federal rules require leak surveys in business districts at intervals not exceeding 15 months and at least once each calendar year. Outside business districts, surveys are required at least once every five calendar years at intervals not exceeding 63 months, with shorter intervals for certain cathodically unprotected lines.

Sedgewater surveys business districts every year, unprotected steel areas every three years and all other areas every five years.

6. Unprotected steel

At the end of 2025 the system had 84 miles of unprotected steel main. Leaks on unprotected steel are repaired by replacement where practical, and the areas are resurveyed every three years until the steel is retired. The replacement program aims to remove all unprotected steel main by the end of 2029.

7. Records and reporting

Leak records feed the distribution integrity management program, which must consider corrosion, natural forces, excavation damage, other outside force, material or weld failure, equipment failure and incorrect operations. Operators submit facilities-replacement documentation and work plans to the RRC by March 15; the 2026 submission was made on March 11. The PHMSA annual report for the preceding year is also due by March 15.

Appendix A. Repair timeframes

Grade 1: immediate and continuous action. Grade 2: see current rule. Grade 3: re-evaluate at each scheduled survey.